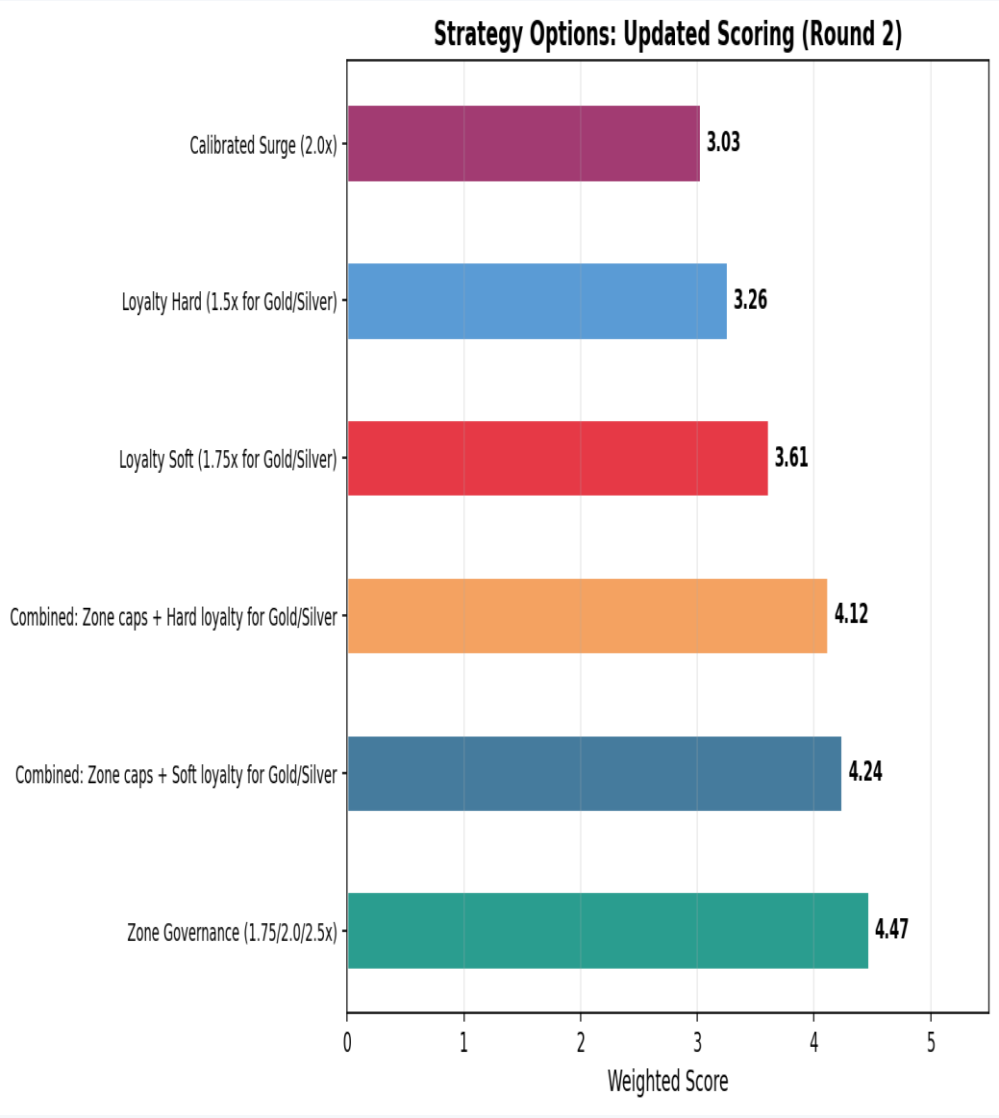


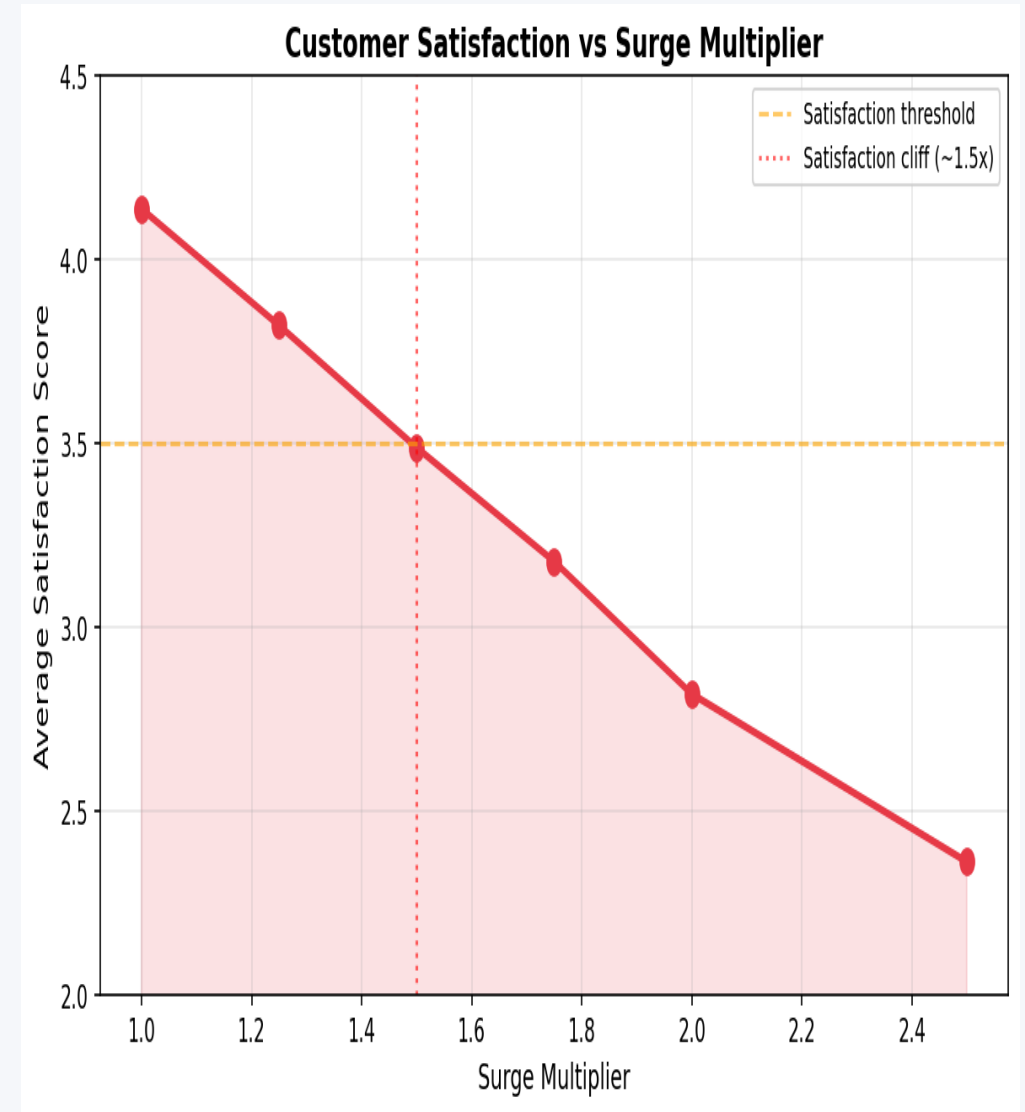
Surge Pricing Drives Revenue but Erodes Retention — Zone Governance Restores Balance

- Current surge pricing generates 62.8% of CM from 31.2% of trips, but satisfaction drops from 4.14→2.36 across the surge range, driving ~14% annual churn
- Zone-governed caps (1.75/2.0/2.5x) reduce CM by 6.06% but structurally diversify revenue; LTV/CAC could reach 1.47-1.84x (churn improvement uncertain: 0.15-0.64pp)
- Recommendation: Option 2 (Zone Governance) as primary, with Option 3 (Loyalty Protection) as Phase 3 enhancement
- Weighted scores: Calibrated=3.02 | Zone Governance=4.46 | Loyalty Soft=3.60



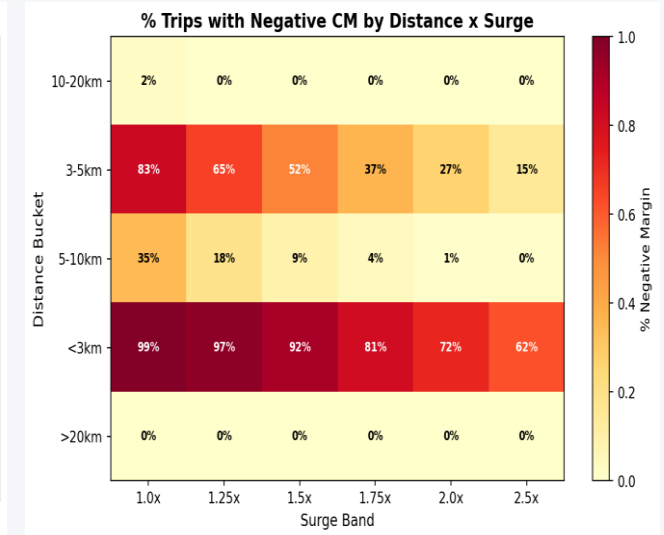
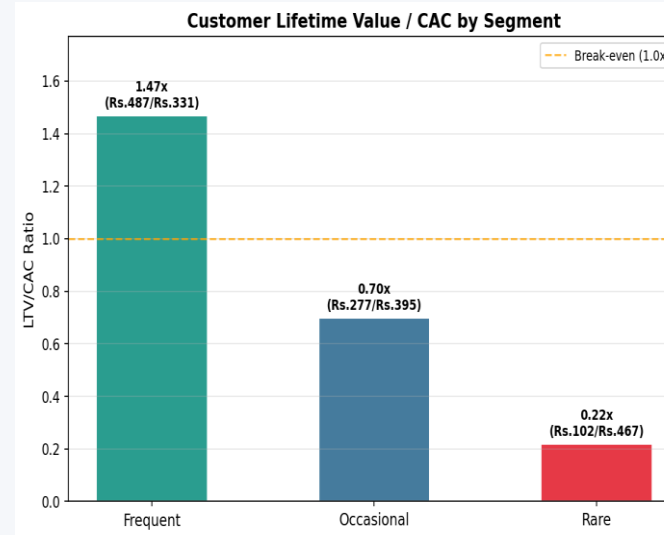
The Problem: Surge Pricing Satisfaction Cliff and Revenue Concentration

- Satisfaction drops sharply with surge: 4.14 (1.0x) → 3.49 (1.5x) → 2.36 (2.5x)
- Bracketed churn model: 14% → 20% → 38% annual churn across this range
- 62.8% of CM from 31.2% of trips — extreme revenue concentration risk
- 39.6% of trips have NEGATIVE margin (cross-subsidy from surge to non-surge)
- Completion rate non-monotonic at 1.75x (61.8% of subgroups show data artifact)
- Implication: Current pricing is profitable but fragile — retention erosion threatens long-term CM sustainability



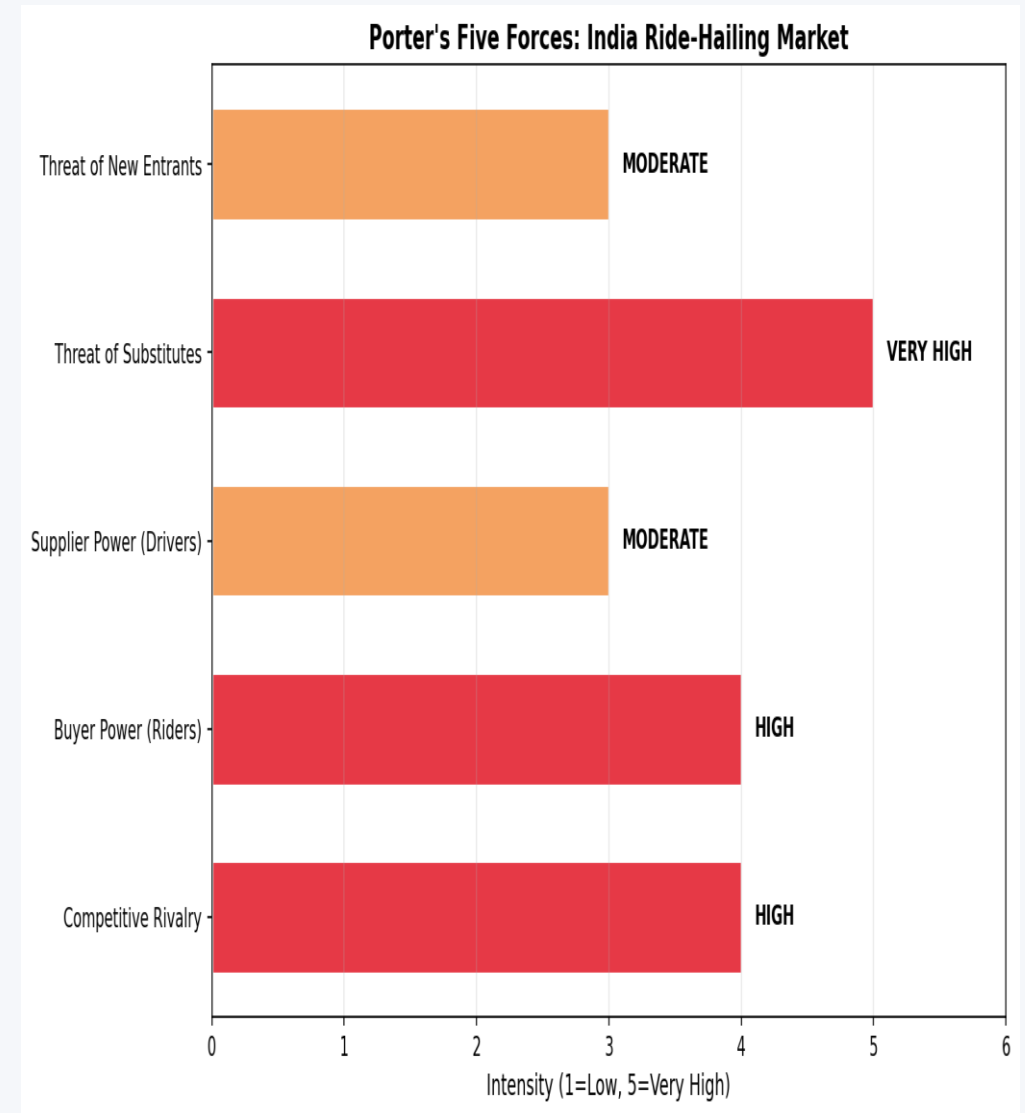
Segment Impact: Who Is Affected and Where Margins Collapse

- Frequent riders: LTV/CAC 1.47x (current), churn-sensitive, highest value
 - Occasional riders: LTV/CAC 0.87x, low retention leverage
 - Rare riders: LTV/CAC 0.44x, negative margin, churn less impactful
-
- Negative margins concentrated in residential, short-distance, low-surge trips
 - Min fare Rs.125/zone eliminates negative CM across all segments
 - Zone caps protect the segments most vulnerable to satisfaction erosion



Porter's Five Forces: India Ride-Hailing — High Rivalry, Zero Switching Costs

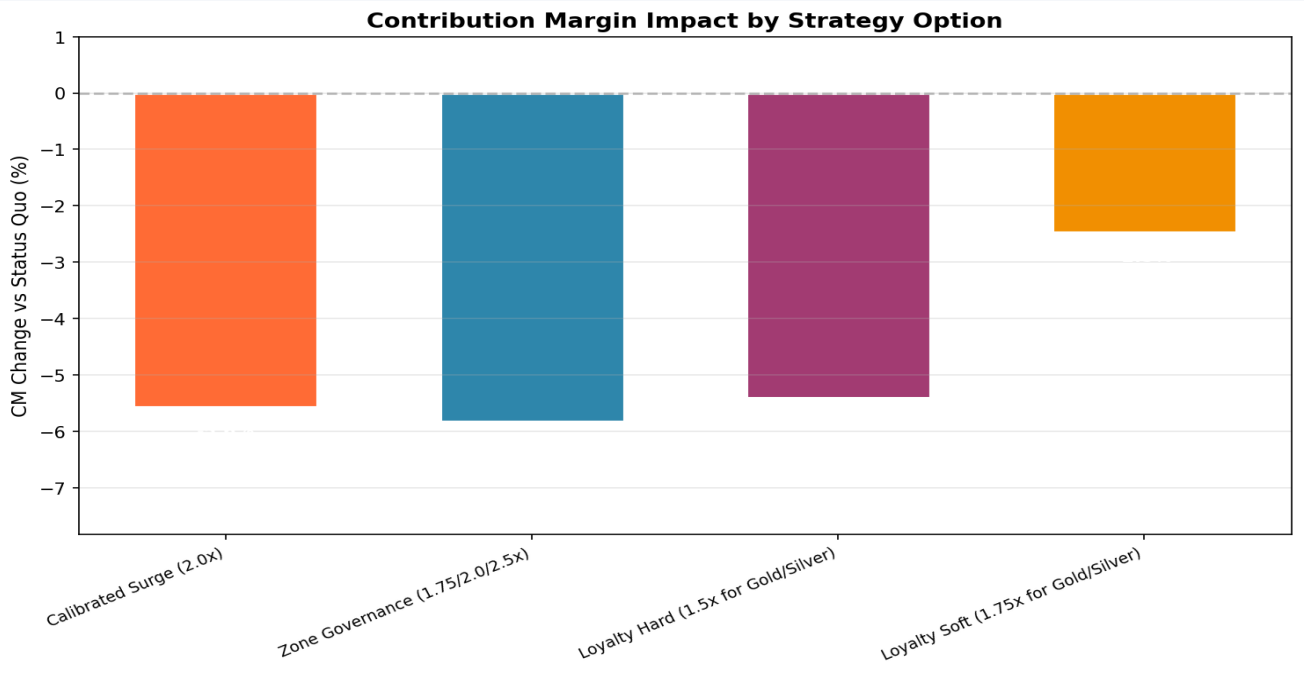
- Buyer Power: HIGH — Multi-apping norm (75%+ have 2+ apps); zero switching cost; real-time price comparison
 - Supplier Power (Drivers): MODERATE — Platform-dependent for demand; earnings sensitivity to caps creates retention risk
 - Rivalry: HIGH — Ola, Uber, Rapido; margin pressure; winner-take-most dynamics
 - Substitutes: VERY HIGH — Metro (Delhi/Mumbai), autos, buses; short-distance substitutable
 - New Entrants: MODERATE — Network effects barrier; zero-surge positioning can attract switchers
- KEY: Zone caps are DEFENSIBLE (invisible until ride request); uniform caps are NOT (immediately observable)



Recommendation: Zone-Governed Surge Caps — What, Where, Why

- WHAT: Differentiated surge caps by zone type
Residential: 1.75x | Commercial: 2.0x | Transit Hub: 2.5x
- WHERE: Mumbai, Bangalore, Delhi — all zone types
- WHY (trip-level simulation, 97% baseline):
 - CM impact: -6.06%
 - Trips protected: 10.7%
 - Satisfaction: +0.061 pts avg
 - Min fare Rs.125/zone eliminates negative CM
 - Wins 6/6 weight scenarios (score 4.46)
- Phase 3: Add loyalty cap (1.75x for Gold/Silver)

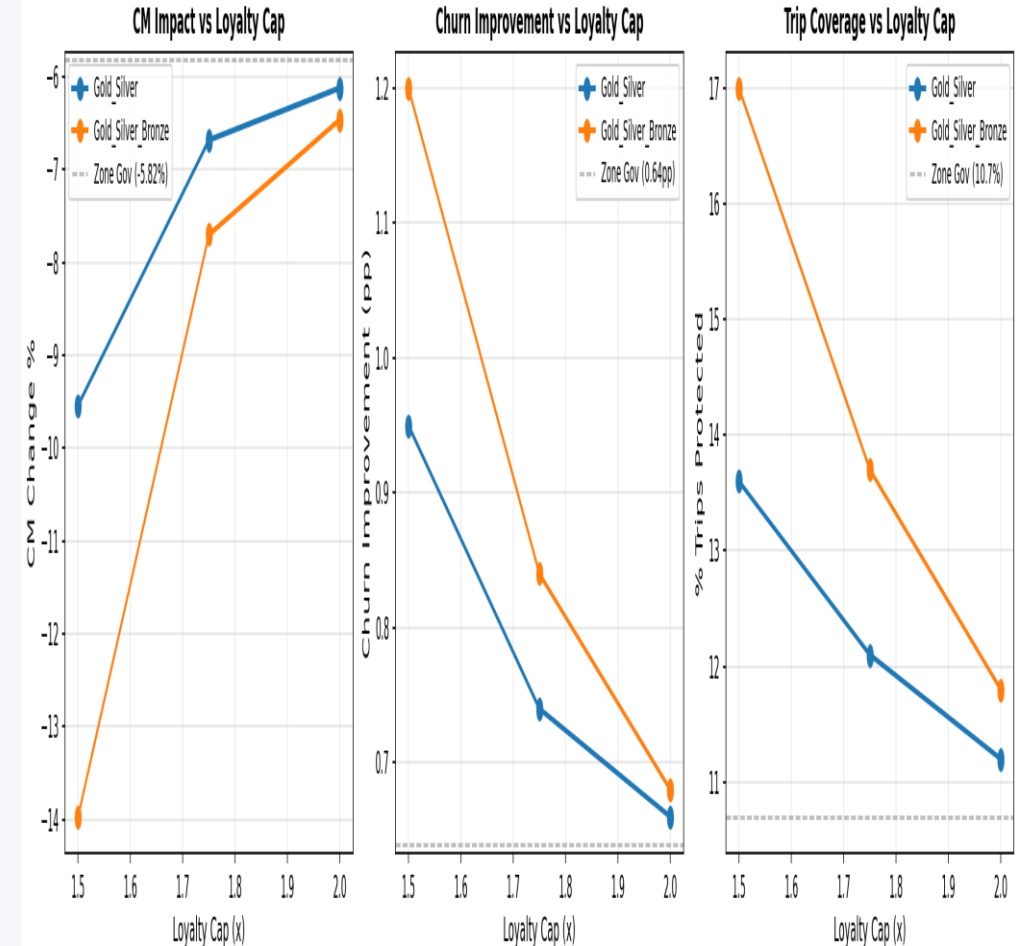
Dimension	Calibrated (2.0x)	Zone Gov (1.75/2.0/2.5x)	Loyalty Soft (1.75x GS)
Revenue Impact	-2.20%	-1.79%	-0.58%
CM Impact	-5.89%	-6.06%	-2.55%
Churn Improvement	+0.53pp	+0.64pp	+0.25pp
Weighted Score	3.02	4.46	3.60



Phase 3 Enhancement: Loyalty Protection on Top of Zone Caps

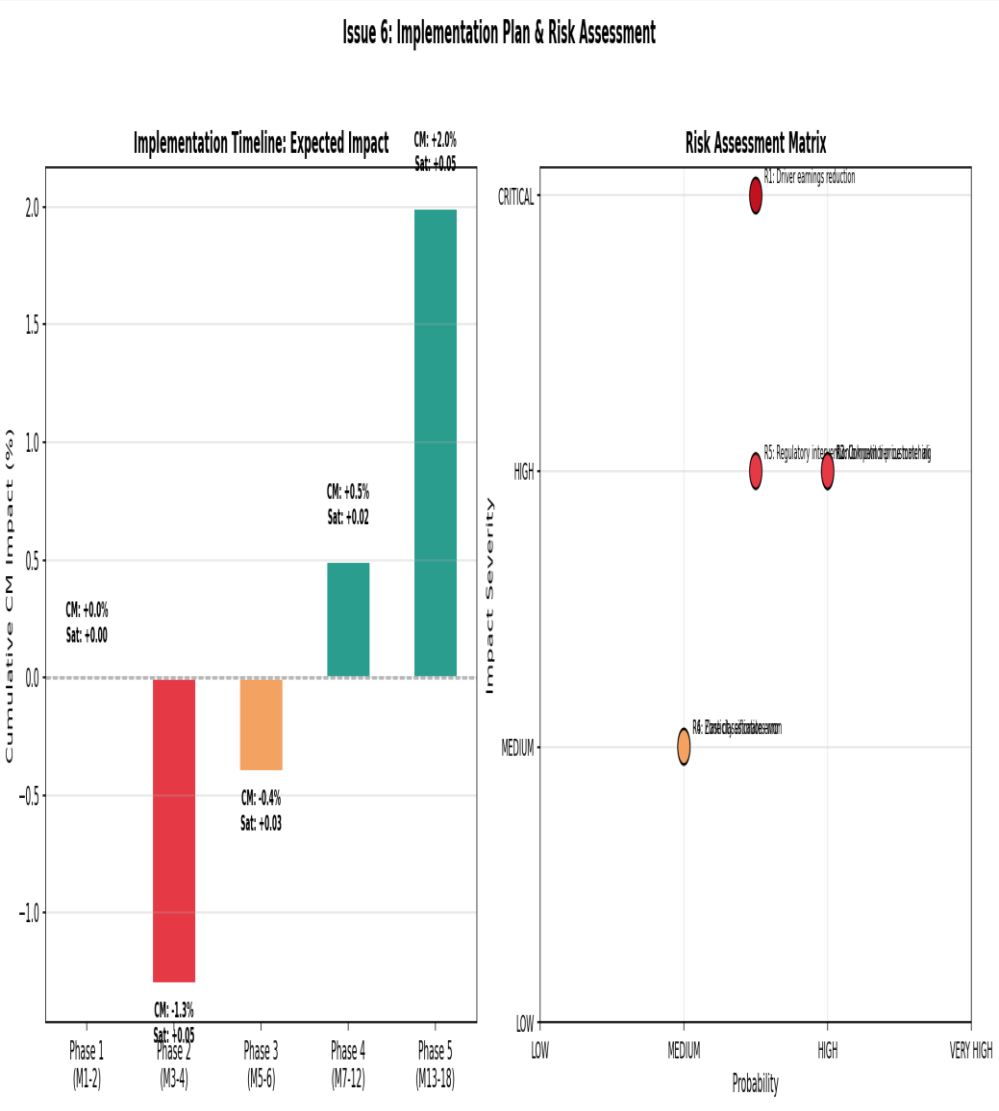
- Combined Zone + Loyalty (1.75x for Gold/Silver): CM -6.92%, churn +0.74pp
- 1.5x loyalty cap too aggressive; 2.0x provides minimal additional benefit over zone caps alone
- 37.1% of riders are Unknown tier — unprotected by loyalty caps alone
 - "Path to Silver" program: 5 rides → Silver status, gradually expanding coverage
- Recommended sequencing: Zone caps first (Phase 2), loyalty overlay (Phase 3)
 - Allows measurement of zone-only impact before adding complexity
 - Driver earnings guarantee already in place before loyalty cap reduces driver revenue further
- Sensitivity: Combined option CM impact ranges from -6.06% to -6.92% depending on loyalty tier scope

Issue 2: Combined Zone+Loyalty - Cap Sensitivity



5-Phase Rollout: Key Risks and Mitigations

- Phase 1 (M1-2): Foundation — Zone classification engine, shadow-mode testing
 - Phase 2 (M3-4): Zone Caps Live — 1.75/2.0/2.5x, driver earnings guarantee
 - Phase 3 (M5-6): Loyalty Protection — 1.75x cap for Gold/Silver, Path to Silver
 - Phase 4 (M7-12): Optimization — A/B test fine-tuning, dynamic caps
 - Phase 5 (M13-18): Scale & Series D — Full governance operational
-
- KEY RISKS:
 - R1: Driver earnings reduction — CRITICAL — Earnings guarantee fund (2% of CM)
 - R2: Competitor price matching — HIGH — Zone caps invisible until request
 - R3: Unknown tier alienation (37.1%) — HIGH — Path to Silver program
 - R4: Data artifact in completion rates — MEDIUM — 97% baseline; monitor post-launch
 - R5: Regulatory intervention — MEDIUM — Proactive self-regulation narrative
 - SUCCESS (Phase 5): LTV/CAC $\geq 1.47x$ frequent; NRR $\geq 95\%$; CM <55% surge-dependent



Retention-Driven Unit Economics: 3 Metrics, 18-Month Horizon

- LTV/CAC Ratio (Frequent Segment)
Current: 1.47x → Target: 1.47-1.84x (18 months)
Confidence: MEDIUM-LOW for magnitude; MEDIUM-HIGH for structural thesis
- Net Revenue Retention (NRR)
Current: ~94% (revenue-weighted) → Target: ~95%+ (18 months)
Confidence: MEDIUM-HIGH (NRR already strong; churned are low-value rare riders)
- CM Sustainability
Current: 62.8% surge-dependent → Target: <55% surge-dependent (18 months)
Confidence: MEDIUM-HIGH (structural shift; less dependent on churn model)
- CAVEAT: Churn causation NOT validated. Recommendation rests on STRUCTURAL thesis (CM diversification, defensibility, regulatory positioning)

Issue 7: Investor Narrative - 18-Month Trajectory

